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Post: Sofia

Oilseeds and Products Market Update

Report Categories:

Oilseeds and Products

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Report Highlights:

Post forecasts Bulgaria's rapeseed area and yield in marketing year (MY) 2019/20 will be lower due to drought conditions during the 2018 fall planting season, followed by insufficient 2018/19 winter precipitation. Many farmers replanted what had been rapeseed fields with spring crops, chiefly sunflower and corn. Favorable early spring planting conditions and beneficial mid-April/early May rainfall contributed to this trend. Although the April and May rains gave the rapeseed crop a much-needed boost, yield losses remain likely for this MY. Sub-surface moisture levels are below last year and pose a risk for the sunflower crop.

General Information:

Weather Overview

Persistent drought conditions during the fall 2018 rapeseed planting season created unfavorable planting and germination conditions. Inadequate snowfall over the winter did not provide enough soil moisture, especially for sub-surface levels. The spring arrived early in March with warm and dry weather. Although these conditions benefited spring planting, they further contributed toward the water deficit. According to European Union (EU) MARS data ([Bulletin Vol.27, No.4](#), April 15), drought conditions during the March 1-April 8 period were 10-50 percent below the long-term average, with 10-22 mm rainfall in the northern regions and less than 10 mm in southern areas of Bulgaria. Rains in the middle of April and early May improved the surface-soil moisture reserves. Recent satellite surface and subsurface moisture [images](#) indicate the improvement of surface soil moisture (see Maps 1 and 2 below). [Temperatures](#) and the [evaporation rate](#) were average in April, but the [percent of soil moisture](#) and the [sub-surface moisture](#) remain below last year's levels.

MY2019/20 Forecast

According to the Ministry of Agriculture (MinAg), the area planted under rapeseed as of May 2 declined to 156,000 hectares (HA), a 15.8-percent decline from the previous year (Table 6). During fall 2018, farmers planted 167,000 HA of rapeseed, a 3.2 percent decline from the previous season. However, due to unfavorable planting conditions and weather, some farmers decided to replant their rapeseed area with spring crops. Reportedly, replanting mostly occurred in northwestern part of the country that was the hardest hit by fall dry weather. For this reason, updated April data reflects a bigger decline in area compared to the previous season. Although reports indicate that rapeseed acreage losses and replanting are widespread, some private estimates indicate that the replanted area ranges from 5,000 HA up to 15,000 HA.

Based on updated rapeseed area and already reduced yield potential, FAS Sofia projects average yields at 2.7 metric tons (MT)/HA and further decline in total production to 420,000 MT (Table 7). Conservative yield estimates are as low as 2.4 MT/HA (production of 380,000 MT).

The abovementioned rapeseed replanting led to early and expanded spring-crop planting, mainly for sunflower and corn. According to seed suppliers, demand for sunflower seed, especially for high-oleic varieties, increased as farmers factor the growing domestic crush. Early spring weather was favorable and by May, farmers planted over 676,000 HA of sunflower, 13.5 percent more than a year ago (Table 6). The newly planted crop benefited from the mid-April/early May rains, which supported germination and emergence. Provided that weather conditions remain favorable, Post expects Bulgaria will see normal or above-average yields, comparable to those in MY2018/19. FAS Sofia increases its production estimate based on higher planted area to 1.93 MMT.

MY2018/19 Updated Production Estimates and Trade

Rapeseed: Updated MinAg official data shows production at 472,000 MT or slightly more than the latest harvest estimate (459,000 MT) (Tables 1 and 2). Rapeseed exports in July-December 2018 started strong due to favorable intra-EU demand, but still lagged behind exports last season by 22 percent due to the lower crop (Table 4). As of April 2019, exports reached 405,000 MT, down from 428,000 MT last year. The major destinations were the Netherlands, Belgium, and Romania.

Due to the drop in production, local crush is estimated to decline (Table 5). Still, solid demand stimulated rapeseed meal exports, which reached 53,000 MT in the first half of MY2018/19, up from 27,000 MT the previous year before (Table 3). The main destinations were the Netherlands, Spain, and Romania.

Sunflower: Updated MinAg official data shows higher planted/harvested area at 789,000 HA and slightly more production at 1.944 MT (Tables 1 and 2).

Sunflower seeds imports in the first quarter of the MY increased to 122,000 MT (World Trade Atlas (WTA) or almost double than in the previous year (66,000 MT) due to the lower crop, competitive imports and good crush demand. As of April 2019, imports are reported to be stagnate (123,000 MT) and may not change until the end of the season. (Table 3).

Exports of sunflower seeds in October-December 2018 declined by 20 percent compared to the previous year due to more favorable domestic demand. As of April 2019, exports were still 15 percent behind that in MY2017/18 (Table 3). Major export markets included the Netherlands, Germany, and the United Kingdom.

FAS Sofia projects a higher local sunflower crush this season (Table 5). According to April 2019 MinAg data, the crush increased by 35 percent over last year. Processed-product exports are also on a rise, notably sunflower oil exports increased by 25 percent in the first quarter of MY2018/19 over the same period last year.

De-hulled sunflower seeds are seeing increasing demand by food processors. Per April 2019 MinAg data, demand growth from processors is 63 percent higher than last season and already exceeds 500,000 MT. The share of sunflower seeds used for de-hulling is currently at 40 percent of total use, versus 60 percent for crush.

Lower crop in MY2018/19 compared to the previous year, and strong domestic use are likely to reduce ending stocks. As of April, authorities report available stocks at 790,000 MT or 30 percent less than a year before.

Soybeans and Products: Bulgaria is a negligible producer and user of soybeans. However, demand for soybean meal is growing relative to the poultry and swine industries. In calendar year 2018, imports of soybean meal increased by 5.2 percent, followed by a 66-percent increase in January 2019 compared to January 2018. MinAg data shows that the 2018 swine inventory increased by 9.8 percent and the number of sows by 15 percent. Poultry stocks grew by 5.2 percent. Output of pork and poultry meat increased by 12.0 and 9.2 percent, respectively.

Appendix:

Table 1: Final Grain Production Estimates MY2018/19

Crops	Area Harvested, HA	Production, MT
Soybeans	2,315	4,630 (14 percent EU standard moisture content) 4,548 (10.6 percent national moisture content and 2.6 percent foreign matter)
Rapeseed	182,619	472,590 (9.0 percent EU standard moisture content) 471,035 (8.7 percent national moisture content and 1.7 percent foreign matter)
Sunflower	788,656	1.9 MMT (9.0 percent EU standard moisture) 1.9 MMT (8.2 percent national moisture content and 2.0 percent foreign matters)
<i>Source: Eurostat and Bulgarian MinAg Bulletin #357 February 2019 (Tentative statistical data for 2018 grain crops)</i>		

Table 2: Oilseed Crops Production Data MY2018/19 and MY2017/18 (May 2019)

Crops	Area Harvested (HA)		Production (MT)	
	MY2018/19	MY2017/18	MY2018/19	MY2017/18
Soybeans	2,315	11,530	4,630	20,910
Rapeseed	182,619	160,650	472,590	482,150
Sunflower	788,656	898,840	1,943,980	2,084,110
Total	973,590	1,071,020	2,421,200	2,587,170
<i>Source: Eurostat data based on EU standard moisture content- updated as of May 2019</i>				

Table 3: MY2018/19 Trade in Major Oilseed Crops by Trade Sources

Types of Grains	Imports, MT	Exports, MT
Soybeans	107 MT from the third countries (EU Customs, April 2019) 84 MT (WTA, Oct-Dec 2018)	130 MT (WTA, Oct-Dec 2018)
Soybean meal	13,670 MT from third countries (EU Customs, April 2019) 32,600 MT (WTA, Oct-Dec 2018)	190 MT (WTA, Oct-Dec 2018)
Soya oil	10,389 MT from third countries (EU Customs, April 2019) 4,095 MT (WTA, Oct-Dec 2018)	171 MT - (WTA, Jul-Dec 2018)

Rapeseed	9,860 MT (MinAg) 10,670 MT (WTA, Jul-Dec 2018) 7,796 MT imports from third countries (EU Customs, April 23, 2019)	404,115 MT (MinAg) 325,481 MT (WTA) 100,971 MT (EU Customs)
Rapeseed meal	0	53,367 MT (WTA)
Rapeseed oil	3,497 MT from third countries (EU Customs, April 2019) 4,374 MT (WTA, Jul-Dec 2018)	4,890 MT (WTA)
Sunflower seeds	123,557 MT (MinAg) 121,920 MT (WTA, Oct-Dec 2018) 84,611 MT imports from third countries (EU Customs, April 2019)	367,648 MT (MinAg, including 38,389 MT to third countries), 216,520 MT (WTA, Oct-Dec 2018) 130,090 MT exports to third countries (EU Customs, April 2019)
Sunflower meal	0	145,271 MT exports to third countries (EU Customs, April 2019) 116,870 MT (WTA, Oct-Dec 2018)
Sunflower oil	3,762 MT from third countries (EU Customs, April 2019) 6,533 MT (WTA, Oct-Dec 2018)	168,531 MT exports to third countries (EU Customs, April 2019) 101,079 MT (WTA, Oct-Dec 2018)
<i>Note: EU Customs data shows different imported and exported quantities for third countries, please, see details here. Source: WTA, EU Customs data (TAXUD) and Bulgarian MinAg weekly bulletins.</i>		

Table 4: Bulgarian Rapeseed Exports First Half of MY2018/19 versus MY2017/18, MT

	First Half , MY2018/19	First half, MY2017/18	Difference, in Percentage
Total Rapeseed Exports	325,481	414,516	-22%
The Netherlands	140,896	124,755	+13%
Romania	12,564	8,158	+54%
France	0	47,153	
Belgium	171,738	185,314	-7%
Portugal	0	26,410	
South Africa	0	20,998	
<i>Source: WTA</i>			

Table 5: FAS Sofia Supply and Demand Estimates for Major Oilseed Crops, MY2018/19 and MY2017/18, (000 MT), May 2019

	Soybeans		Rapeseed		Sunflower	
	MY 2017/18	MY 2018/19	MY 2017/18	MY 2018/19	MY 2017/18	MY 2018/19
Production	21	5	482	473	2,084	1,944
Imports	1	2	26	14	273	125
Exports	3	3	428	406	831	800
Domestic Consumption	15	3	90	83	1,345	1,395

Table 6: Area Planted Oilseed Crops MY2018/19 and MY2019/2020 as of May 2, 2019

Area Planted Grain Crops, MY2018/19 and MY2019/20, HA			
	May 3, 2018	May 2, 2019	Difference, in Percentage
Soybeans	2,179	2,092	-4.0%
Rapeseed	185,212	155,979	-15.6%
Sunflower	595,767	676,457	+13.5%
Source: MinAg Bulletin #18, May 8, 2019			

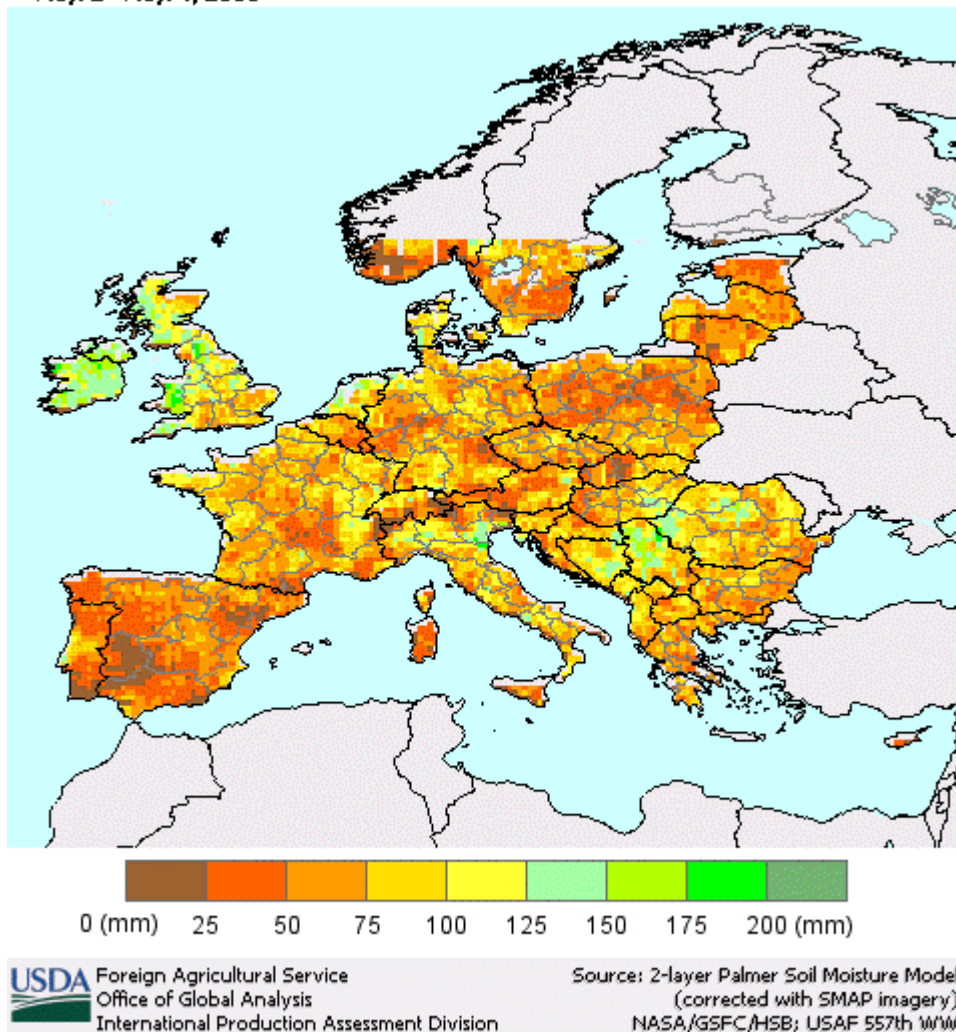
Table 7: FAS Sofia MY2019/2020 Forecast for Major Oilseed Crops as of May 2019

Crops	Area Planted, HA	Production, MT
Soybeans	2,500	5,000
Rapeseed	155,000	420,000
Sunflower	800,000	1,930,000

Map 1: USDA Crop Explorer, Subsurface Soil Moisture May 2-4

Subsurface Soil Moisture (SMAP)

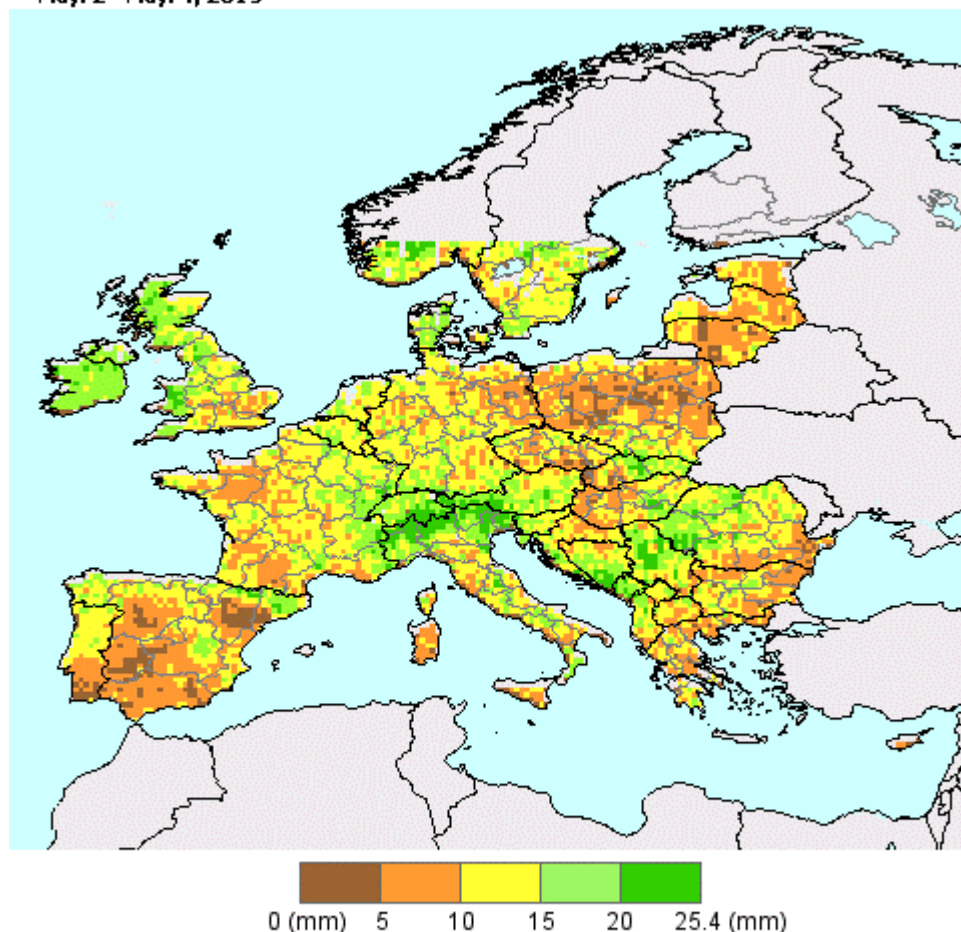
May. 2 - May. 4, 2019



Map 2: USDA Crop Explorer, Surface Soil Moisture May 2-4

Surface Soil Moisture (SMAP)

May. 2 - May. 4, 2019



0 (mm) 5 10 15 20 25.4 (mm)

USDA Foreign Agricultural Service
Office of Global Analysis
International Production Assessment Division

Source: 2-layer Palmer Soil Moisture Model
(corrected with SMAP imagery)
NASA/GSFC/HSB; USAF 557th WW